



# **YOUR FINANCIAL REPORT CARD: UNDERSTANDING CREDIT SCORES**



# THE PENCIL LOAN STORY

## Trust Begins with Small Promises

Imagine you borrow a pencil from a friend and return it on time. They trust you. What if you don't? Trust takes time to build but can be lost quickly.

**What happens when someone doesn't return what they borrowed?**



# WHAT IS CREDIT?

Credit means borrowing something and promising to give it back on time.  
It's all about trust!

Like borrowing pencils or books from friends

Banks lend money when they trust you to pay it back



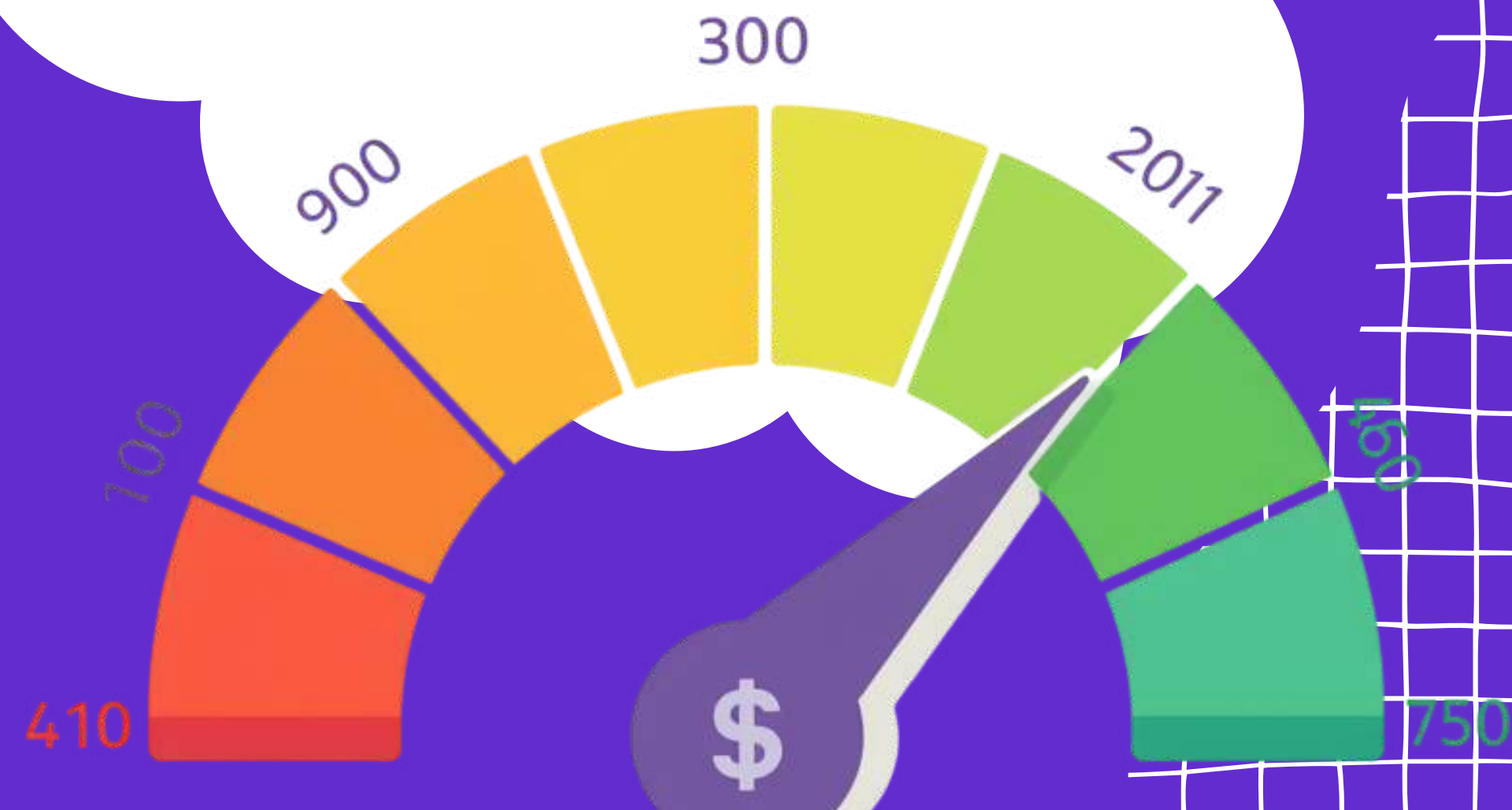
# WHAT IS A CREDIT SCORE?

## Your Financial Report Card

A Credit Score is like your financial report card. It shows how well you take care of borrowed money.



Scores range from 300 (needs work) to 900 (excellent)!



# THE CIBIL SCORE IN INDIA

## Your Indian Credit Score

In India, the most common credit score is called CIBIL Score. It ranges from 300 to 900.

300 = Needs Improvement (Red zone)

750+ = Good Score (Green zone)

Higher score = More trust from banks!



# GOOD VS. BAD SCORES

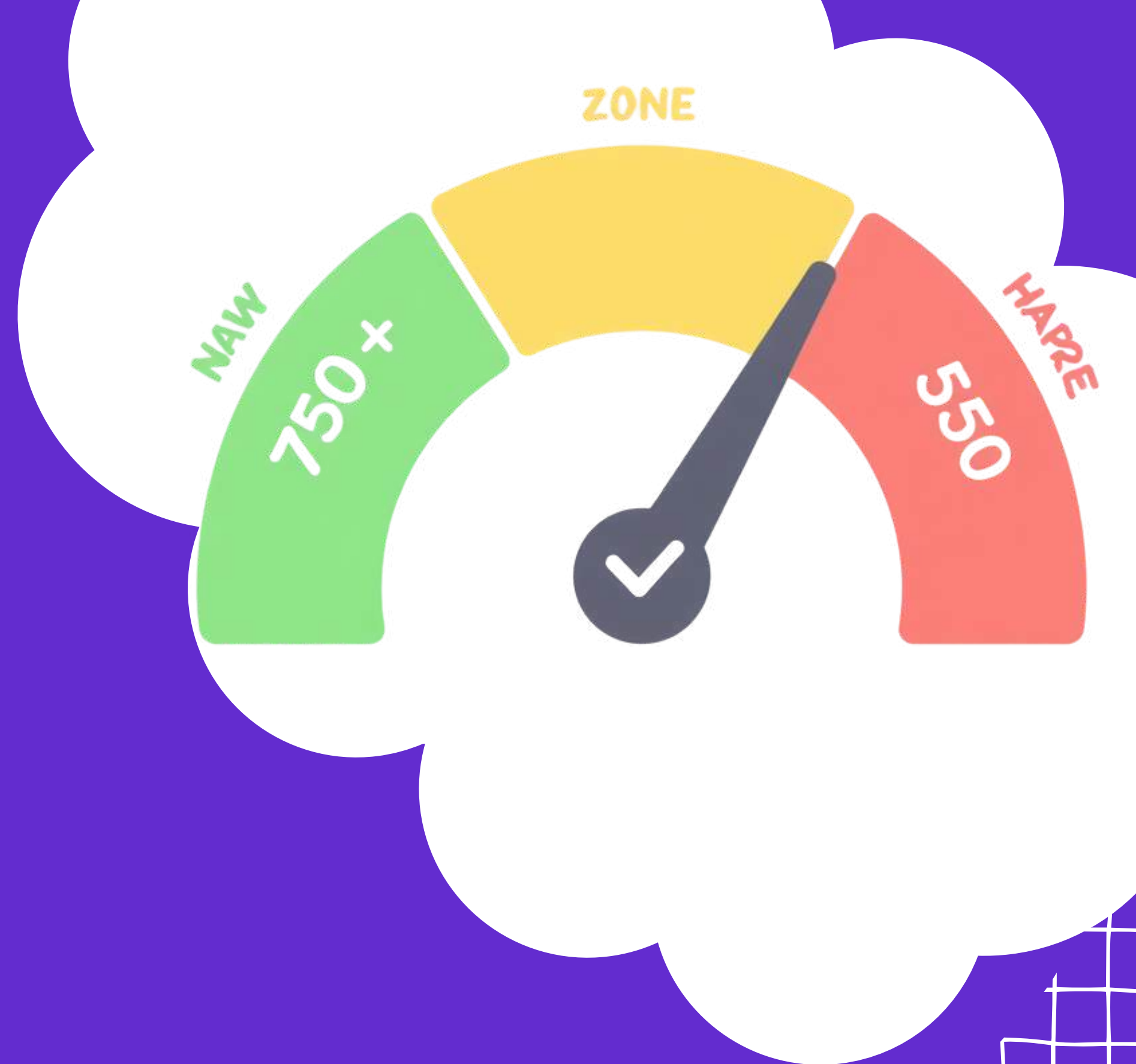
## Good Score (750+)

- Pays bills on time every month
- Borrows only what they can repay
- Banks say "Yes" to loans quickly

## Bad Score (Below 600)

- Misses bill payments often
- Borrows more than they can handle
- Banks say "No" to loan requests

**Your habits today shape  
your financial future  
tomorrow!**



# THE GOOD HABITS GAME

Let's play! Which actions help your credit score go UP or DOWN? Sort these habits into the right category!

Score UP: Paying bills on time, Borrowing only what you need

Score DOWN: Forgetting to pay bills, Spending too much money

Think about which habits YOU practice at home!





# HOW MR. SHARMA GOT A CAR LOAN

## A Good Credit Score Success Story

Mr. Sharma always pays his electricity and mobile bills on time. His CIBIL score is 800.

When he applied for a car loan, the bank quickly approved it because they trusted him!

**Good habits lead to great rewards!**

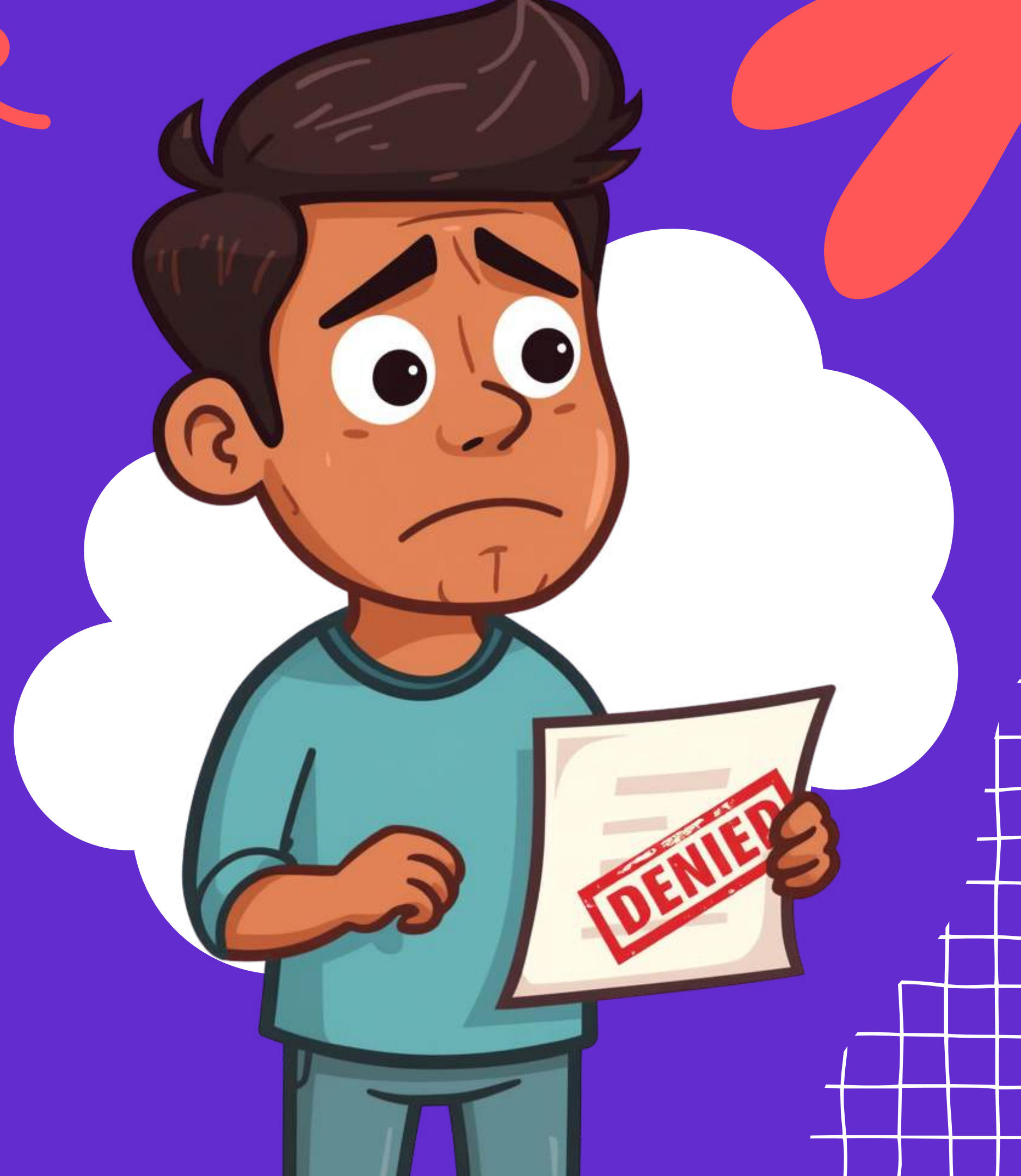




# MR. VERMA'S LOAN TROUBLE

Mr. Verma forgot to pay his credit card bills for 3 months. His CIBIL score dropped to 550. When he asked the bank for a loan, they said 'No.' Now Mr. Verma is working hard to pay his bills on time and rebuild his score.

**REMEMBER: MISSING  
PAYMENTS HAS  
CONSEQUENCES, BUT YOU  
CAN ALWAYS IMPROVE!**



# WHY CREDIT SCORES MATTER

A good credit score opens many doors in life. Here's how it helps families in India achieve their dreams and goals.

Getting home loans for apartments and houses

Car loans to buy your family vehicle

Education loans for siblings to study further





# RECAP: WHAT WE LEARNED

## Key Takeaways from Today's Session

Let's review the important points about credit scores that will help you understand money better!

- 📊 Credit score = your financial report card
- 💚 750+ is a good score in India
- 🕒 Paying bills on time is the #1 habit
- 🏦 Banks check your score before giving loans







# THE FUTURE SAVER QUIZ

Which action will help your credit score the most? Think carefully about what you've learned and choose the best answer below!

A) Paying bills on time

C) Forgetting bill payments

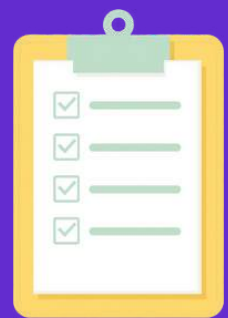
B) Borrowing more money than needed

Pick your answer!

# YOUR FINANCIAL HABITS TRACKER

## Take It Home!

Take home your Financial Habits Tracker to practice good money habits every day!



**Track bill payments,  
borrowing, and  
saving!**







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**THANK YOU & SEE YOU  
NEXT TIME!**

Thank you for learning about  
credit scores! See you in  
Session 2.